

PERSPECTIVE

1966-1968 was a time of ebullience about long term financial and economic conditions. Interest rates were low and the stock market was registering what stands today as its all-time high in CPI-adjusted terms in the DJIA (1966) and Value Line (1968) indexes. Beginning in the center of this period, in 1967, two years after silver was removed from the country's coinage, the prices of gold and silver began to edge upward for the first time in 33 years. That price movement reflected the beginning of a period of increasing inflation that developed in three upward phases, each more dramatic than the last.

The spiraling inflation, after weathering two setbacks, finally culminated in January 1980 in an atmosphere of long term financial panic. The month before, in December 1979, *The Elliott Wave Theorist* spelled out its expectations for the major sea change that was at hand. *Commodities* (now *Futures*) magazine published EWT's comments in its January 1980 issue. Here is an excerpt:

The incredible conjunction of "fives" in different markets [gold, silver, interest rates, bonds, and commodities] all seem to point to the same conclusion: *The world is about to begin a phase of general disinflation* [i.e., decelerating inflation]. As I see it, a pattern of several disinflationary years leading to a deflationary trend later on would be a perfect scenario for the Elliott outlook for stocks. A gradual disinflation would create an optimistic mood in the country and lead to the conclusion that we may have finally licked the inflation problem. This sentiment would support a bull market in stocks for several years until the snowballing forces of deflation began to take over. At that point, a major deflationary crash would be impossible to avert, and the Grand Supercycle correction would be underway.

The inflationary trend that had accelerated for a Fibonacci 13 years ended abruptly that very month. Indeed, the above paragraph spelled out, just weeks before the reversal of trend, the experience of the last fifteen years.

The onset of the new trend was as exciting as the termination of the old one. The 1980 peak was followed by a brief two-year period of extremely rapid disinflation that shocked the markets. From a peak of \$850/oz. in January 1980, gold collapsed to \$296.75 (basis London fix) in June 1982. From its long time resistance area just above 1000, the Dow fell back to 777 in August 1982 to its lowest